Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig, City

RESOLUTION NO. 19, SERIES OF 2025

A RESOLUTION ADOPTING THE COMMISSION'S POLICY DIRECTION WITH RESPECT TO THE SUPREME COURT DECISION DATED 8 OCTOBER 2019 IN G.R. No. 226443

WHEREAS, on 08 October 2019, the Supreme Court rendered its *Decision* in *NASECORE v. ERC*,[1] (SC Decision) where it partly granted the Petition for Review on Certiorari filed by the National Association of Electricity Consumers for Reforms, Inc. (NASECORE) relative to the Commission's *Order*, dated 21 June 2011, affirming its findings and conclusions in its *Decision*, dated 20 March 2003, and *Order*, dated 20 May 2003, in ERC Case Nos. 2001-646 and 2001-900 (MERALCO's Unbundling Case);

WHEREAS, in the SC Decision,[2] the Supreme Court declared as void the adoption by the Commission of the current or replacement cost in the valuation of MERALCO's Regulatory Asset Base (RAB) under the abovementioned ERC cases and further directed the Commission to determine the following:

a. The valuation of the RAB of MERALCO; and

b. The parameters whether expenses that are not directly and entirely related to the operation of a distribution utility shall be passed on wholly or partially to consumers, all to the end that electricity shall be provided to consumers "in the least cost manner".

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[1] National Association of Electricity Consumers for Reforms, Inc., Petitioner, vs. Energy Regulatory Commission, Manila Electric Company, and Commission on Audit, Respondents; Clark Electric Distribution Corporation, Dagupan Electric Corporation, Angeles Electric Corporation, Cagayan Electric Power & Light Company, San Fernando Electric Light & Power Company, Inc., Cabanatuan Electric Corporation, Tarlac Electric, Inc., and Olongapo Electricity Distribution Company, Inc.- Movant-Intervenors, G.R. No. 226443, 08 October 2019.

[2] The dispositive portions are quoted as follows:

> "WHEREFORE, we PARTIALLY GRANT the petition. We VOID the adoption by the Energy Regulatory Commission of the current or replacement cost in the valuation of Manila Electric Company's regulatory asset base. We REMAND this case to the Energy Regulatory Commission to determine, within ninety (90) days from finality of this Decision, (1) the valuation of the regulatory asset base of Manila Electric Company, and (2) the parameters whether expenses that are not directly and entirely related to the operation of a distribution utility shall be passed on wholly or partially to consumers, all to the end that electricity shall be provided to consumers "IN THE LEAST COST MANNER," in accordance with this Decision.
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> SO ORDERED."

WHEREAS, on 25 February 2025, the Commission, through the Office of the Solicitor General (OSG), received the Supreme Court's Resolution, dated 14 January 2025, denying the motions for reconsideration respectively filed by MERALCO, the Commission and intervenors relative to the SC Decision.

WHEREAS, with the denial of the motions in the said Resolution, the SC Decision in *NASECORE v. ERC* became final and executory;

WHEREAS, the Commission deliberated on various dates the way forward for its compliance with the Supreme Court's directives in the SC Decision in *NASECORE v. ERC*, in light of the issues identified and the impact thereof to the consumers and the regulated entities, i.e. Private Distribution Utilities (PDUs), and the Transmission Network Provider, National Grid Corporation of the Philippines (NGCP).

WHEREAS, in a *Compliance* dated 26 May 2025, the Commission informed the Supreme Court of its intent to post an *Issues Paper* to solicit comments from concerned stakeholders on the way forward with respect to the SC Decision and further undertook to inform the Supreme Court of the completion of its activities in connection therewith;

WHEREAS, in a *Notice*, dated 14 May 2025, in ERC Case No. 2025-015 MC,[3] which it released on 26 May 2025, the Commission, by a majority vote, approved for posting the *Issues Paper on the Determination of the New Valuation Methodology of the Regulatory Asset Base Applicable to the Regulated Entities* (Issues Paper), and gave all interested stakeholders until 5 June 2025 to submit its comments to the Issues Paper. In the same *Notice*, dated 14 May 2025, the Commission set the Issues Paper for public consultation on 13 June 2025;

WHEREAS, on the stated deadline, the Commission received comments on the Issues Paper from the following stakeholders;

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3 In Re: Issues Paper on the Determination of the New Valuation Methodology of the Regulatory Asset Base Applicable to the Regulated Entities in Compliance with the Supreme Court Decision in National Association of Electricity Consumers for Reforms, Inc. (NASECORE) v. Energy Regulatory Commission (ERC), et. al. (NASECORE vs. ERC).

a. Distribution Utilities
   - Cagayan Electric Power & Light Co. (CEPALCO)
   - Cotabato Light & Power Co. (CLPC)
   - Davao Light & Power Co. (DLPC)
   - Manila Electric Company (MERALCO)
   - Olongapo Electricity Distribution Co. (OEDC)
   - Subic Enerzone Corp. (SEZ)
   - Visayan Electric Co. (VECO)

b. Industry Associations
   - Philippine Electric Plant Owners Association (PEPOA)

c. Transmission Sector
   - National Grid Corporation of the Philippines (NGCP)
   - National Transmission Corporation (TRANSCO)

d. Individual Consumers
   - Sen. Rodante Marcoleta
   - Atty. Emmanuel S. Brotarlo
   - Mr. Guido Alfredo A. Delgado
   - Mr. Romeo L. Junia
   - Mr. Hio Tiao Lim
   - Atty. Andres P. Manuel
   - Atty. Lester Nazarene V. Ople / Mr. Alfredo J. Non
   - Mr. Jekell Salosagcol
   - Mr. Rex V. Tantiongco

e. Government Agency and Policy Institutions
   - Philippine Competition Commission (PCC)
   - Philippine Institute for Development Studies (PIDS)

f. Consumer and Advocacy Groups
   - Bantay Konsyumer, Kalsada, Kuryente (BK3)
   - Center for Power Issues and Initiative, Inc. (CPII)
   - Infrawatch PH
   - National Association of Electricity Consumers for Reforms, Inc. (NASECORE)

g. Professional Institutions
   - Asian Appraisal Company, Inc. (AACI)

WHEREAS, during the 13 June 2025 public consultation, several stakeholders, propounded comments to the Issues Paper;

WHEREAS, after thorough deliberations on the various discussions raised by all the stakeholders with respect to the Issues Paper, during its Regular Commission Meeting on 16 October 2025, the Commission resolved to provide its position on the way forward regarding the SC Decision;

NOW, THEREFORE, be it RESOLVED, as the Commission hereby RESOLVES to APPROVE and ADOPT the following positions on the issues identified in the Issues Paper:

1. Applicability

In the Issues Paper, the Commission solicited comments to initially determine whether there would be implications with adopting an alternative valuation methodology for the Unbundling Period and applying this in a way that is consistent with the Decision of the Supreme Court.

A significant number of stakeholders responding to the Issues Paper on the RAB valuation methodology emphasized that the SC Decision should be interpreted narrowly—applying exclusively to MERALCO's unbundled rates for the period from June 2003 to June 2007. These stakeholders raised legal, procedural, and practical arguments to support this position.

Stakeholders have argued that the SC Decision only affects MERALCO's application for increase in unbundled rates. Applying the ruling to other PDUs and the NGCP, that were not parties to the case and/or were denied intervention, would violate their right to due process.

Other PDUs, such as CEPALCO, CLPC, DLPC, OEDC, VECO, SEZ, expressed their concern on the regulatory and financial instability that may arise if final and decided rate cases would be reopened. Reversing these final decisions would be inequitable and disruptive.

As such, considering the comments and in accordance with the Decision, dated 08 October 2019, and the clarification in the Resolution, dated 14 January 2025, in G.R. No. 226443, the Commission believes that the SC Decision only pertained to the regulatory years to which the unbundled rates were applied and which are the subject of the SC Petition, namely, from June 2003 to June 2007, and not to any other years. The limited scope of the SC Decision was affirmed in the Resolution dated 14 January 2025 ("SC

Resolution"), where the Supreme Court reiterated that the SC Decision affected only MERALCO's application for increase in its unbundled rates. The Commission cannot legally expand the application of the SC Decision to other years not covered by the unbundling application of MERALCO, nor to other PDUs that are not parties to the case, as doing so will violate MERALCO's and other PDUs' constitutional right to due process.

Considering the foregoing, the SC Decision cannot also be applied to any other decisions previously rendered by the ERC or its predecessor agencies, such as the Energy Regulatory Board ("ERB"), which have already attained finality and have already been implemented long before the subject SC Decision was rendered. This follows the principle of immutability of judgments which provides that "a decision that has acquired finality becomes immutable and unalterable. This quality of immutability precludes the modification of the judgment, even if the modification is meant to correct erroneous conclusions of fact and law."[4]

Further, SC Decision voiding the replacement cost methodology cannot be applied retroactively and outside of the years where the unbundled rates were applied, as this will necessarily affect the valid implementation of the ERC's previous final decisions which adopted replacement cost for RAB valuation. This is because the affected PDUs have all relied in good faith on, and merely complied with, the final decisions of the ERC prescribing the use of replacement cost in determining their RAB.

This is consistent with the operative fact doctrine which recognizes that a void law or rule can still have valid legal effects as it "may not necessarily obliterate all the effects and consequences of a void act prior to such declaration."[5] It recognizes the reality that "prior to the nullification of a statute, there is an imperative necessity of taking into account its actual existence as an operative fact negating the acceptance of 'a principle of absolute retroactive invalidity."[6] It acknowledges the reality that a law or rule, although later declared invalid, had the binding force of law during its period of validity.

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4 Argel v. Singson. G.R. No. 202970, 25 March 2015.
5 Hagedorn v. Commission on Audit, G.R. No. 260458, 4 June 2024.
6 Tañada v. Tuvera, G.R. No. L-63915, 24 April 1985.

2. Proper Valuation to be Adopted

As discussed in the Issues Paper, the Commission will need to make a determination on the appropriate valuation methodology that will meet the principles set out in the EPIRA and be in accordance with the SC Decision.

In view of the foregoing, the Commission revisited previous valuation methodologies it adopted in previous rate-setting cases as well as the proposals made by other stakeholders which are summarized below:

Valuation Method	Description
Depreciated Historic Cost (DHC)	Acquisition cost adjusted for straight line depreciation
Depreciated Actual Cost (DAC)	Inflation adjusted actual cost with further adjustment for straight line depreciation Variant of the historical cost approach Inflation indexed costs are determined by applying an annual inflation factor.
Reproduction Cost, New	Replacement cost method used to estimate the cost of replicating an asset with an identical or equivalent asset using current materials, technology, and construction methods.
Sound Value	Replacement cost of an asset less the accumulated depreciation.
Fair Market Value	Value of the asset based on the current market situation as of the current date.
Optimized Depreciated Replacement Cost (ODRC)	Estimates the cost of replacing an existing asset with a modern equivalent that performs the same function, adjusted for depreciation and asset condition. Assumes the asset is replaced using the most efficient, up-to-date technology and materials available.
Restated Historical Cost (RHC)	Historical cost adjusted for inflation/currency changes.
Trending or Indexation Method	Historical cost adjusted using published indices

Valuation Method	Description
Cost-Based Method	Involves the setting of rates in a way that will allow regulated entities to recover operating costs, as well as "provide an opportunity to earn a reasonable return on the rate base or the assets utilized in the business".
Reference Grid & Utility Method (RGRUM)	Benchmarking-based valuation using standardized cost and performance parameters.
Hybrid	ODRC roll-forward for existing assets + historical cost for new assets.
Hybrid	Valuation methodology will vary depending on type of asset
Value-Based (NPV)	Takes into consideration future cash flows or economic value

The Commission notes that it has rendered decisions for PDUs under the Return on Rate Base (RORB) methodology. Under Section 43 (f) of the EPIRA and Rule 15, Section 5(a) of the Implementing Rules and Regulations of the Electric Power Industry Reform Act (EPIRA), appraisal has been authorized and has been consistently applied by the Commission in RORB cases. This regulatory approach has provided predictability and stability in rate-setting and investment planning. Accordingly, the Commission maintains that prior decisions adopting asset appraisal under the RORB framework are not subject to reopening or modification. This affirms the Commission's commitment to regulatory consistency, due process, and the integrity of its rate-setting methodology.

After considering all comments received, including those from valuation experts, the Commission has determined that the only remaining and viable valuation methodology in lieu of the replacement cost methodology is the Trending Method.

Trending method adjusts historical costs to reflect current market conditions, especially when the asset is valued based on its original purchase price. This method applies to an index (or trend factor) to account for changes in inflation, material costs, labor, or industry-specific trends over time. The Trending Method is particularly useful when historical costs are available, but current market costs are difficult to obtain.

Thus, the Commission resolves to adopt the "**TRENDING METHOD**" as the valuation methodology for MERALCO to apply for the period covered by the SC Decision (i.e., June 2003 to June 2007).

The use of Trending Method avoids the use of the replacement cost or ODRC methods while ensuring an objective and transparent basis through the use of publicly available CPI data. This methodology aligns with the requirement of least cost as directed by the Supreme Court, while reflecting economic conditions without undertaking a revaluation which reinforces the ERC's mandate of ensuring just and reasonable rates while safeguarding public interest, to wit:

a. Compliance with the Least Cost Principle

The Trending Method supports the Supreme Court's directive to adopt regulatory practices that minimize costs to consumers. By avoiding expensive and complex valuation procedures, this method ensures that regulatory compliance does not impose undue financial burdens on regulated entities or consumers.

b. Simplicity and Cost Efficiency

Trending uses historical asset costs adjusted by a recognized price index (e.g. CPI), eliminating the need for costly revaluations. This makes it particularly suitable for utilities with assets that have been in service for long year.

c. Transparency and Uniformity

The method promotes consistent valuation across regulated entities, enhancing transparency and simplifying regulatory reviews and audits.

d. Practicality and Data Availability

Most utilities maintain historical cost records, making the Trending Method feasible and implementable without requiring extensive data reconstruction.

A separate Order shall be issued by the Commission directing MERALCO to submit a revised valuation of their Regulatory Asset Base for the period covered by the SC Decision (i.e., June 2003 to June 2007) in compliance with this Resolution.

3. Parameters for Expenses

The Commission shall review the expenses recommended by the Commission on Audit (COA) to be disallowed and shall determine "the parameters whether expenses that are not directly and entirely related to the operation of a distribution utility shall be passed on wholly or partially to consumers, all to the end that electricity shall be provided to consumers "in the least cost manner", covering the period subject of the Supreme Court's Decision (i.e., June 2003 to June 2007).

This Resolution shall take effect immediately following its publication in a newspaper of general circulation, or in the Official Gazette. Upon effectivity of this Resolution, the Commission shall forthwith inform the Supreme Court of these developments.

Let copies of this Resolution be furnished to all parties concerned, the University of the Philippines Law Center - Office of the National Administrative Register (UPLC-ONAR), all privately-owned Distribution Utilities, as well as published in the ERC website and such other online platform available to the Commission.

Pasig City.

FRANCIS SATURNINO C. JUAN
Chairperson and CEO

FLORESINDA G. BALDO-DIGAL
Commissioner

MARKO ROMEO L. FUENTES
Commissioner

AMANTE A. LIBERATO
Commissioner

PARIS G. REAL
Commissioner

ROS: RSL/ABS/AJMO

**Deliberated and approved during the 16 October 2025 Commission Meeting.*